

Federal Maritime Commission

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Docket No 19-09

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VERTERRA LTD.

COMPLAINANT,

v.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**COMPLAINANT’S MOTION FOR LEAVE TO FILE SUR-REPLY  
TO RESPONDENTS’ MOTION TO DISMISS, OR IN THE ALTERNATIVE,  
MOTION TO STAY PROCEEDINGS**

Pursuant to Rules 69 and 70 of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (46 C.F.R. 502 *et seq.*), Complainants, through their Counsel, Christopher J. Sovak, Esq. respectfully submit this Motion For Leave to file a Sur-Reply to Respondents’ Motion to Dismiss, or in the alternative, Motion to Stay Proceedings.

**“EXTRAORDINARY CIRCUMSTANCES” WARRANT COMPLAINANT’S SUR-REPLY**

Pursuant to 46 C.F.R. § 502.70, a non-moving party may file a “further reply” to a dispositive motion “...upon a showing of extraordinary circumstances.” It is respectfully submitted that as set forth below extraordinary circumstances exist herein which warrant the granting of leave to Complainant to interpose a Sur-Reply to Respondents’ Motion to Dismiss, or

in the Alternative, Motion to Stay the Proceedings now pending before the Commission or Presiding Officer.

We are writing to request permission to submit a brief sur-reply to the Respondent's Reply in Support of the Motion to Dismiss or Stay submitted on February 4, 2020. The purpose of the requested sur-reply would be to address an evidentiary argument raised by the Respondents for the *first time* in their February 4, 2020 Reply Memorandum of Law and attached affirmation.

The Respondents' reply argues that my January 15, 2020 affirmation (the "Sovak Affirmation") recounting conversations with Respondents' counsel wherein he represented to me that the Respondents were going to "self report" violations of the Shipping Act to the FMC relating to shipments for VerTerra, should be stricken pursuant to FRCP 408. (See, Sovak Affirmation attached to Memorandum of Law in Opposition to Respondents' Motion as Ex. 2) This position is not supported by the law. Notably, respondents brief cites no case law in support of their position, nor even references FRCP 408(b) which is the applicable rule of evidence for this situation.

It is respectfully requested that the Presiding Officer grant Complainants leave to address *these newly raised arguments* and affirmation produced *for the first time*, on reply.

Rule 408(b) expressly states that representations made in the course of settlement negotiations are ***not to be excluded*** under Rule 408 if offered for purposes other than proof of liability for, invalidity of, or amount of a disputed claim. See, Fed.R.Evid. 408(b)<sup>1</sup>. As reflected in the introduction to VerTerra's opposition to the motion to dismiss, Mr. Altman's

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<sup>1</sup> Rule 408(b) states that "[t]his rule does not require exclusion if the evidence is offered for purposes not prohibited by subdivision (a). Examples of permissible purposes include proving a witness's bias or prejudice; negating a contention of undue delay; and proving an effort to obstruct a criminal investigation or prosecution." Fed. R. Evid. 408(b). The list of examples set forth in Rule 408(b) is illustrative, not exhaustive. See, *360Heros, Inc. v. Mainstreet America Assurance Company*, 2019 WL 355333 at \*2 (N.D.N.Y. 2019), citing *Sterling Sav. Bank v. Citadel Devel. Co., Inc.*, 656 F. Supp. 2d 1248, 1255 (D. Or. 2009)

representation is being offered to establish the Respondent's acknowledgement of the FMC's jurisdiction over the shipments and alleged violations of the Shipping Act at issue:

"VerTerra's counsel has been informed by Respondents' counsel that either one or both of the Respondents have made a submission to the Commission admitting to violations of the Shipping Act with regard to a number of shipments at issue in this Action, plainly reflecting Respondents' acknowledgment that the Commission has jurisdiction over the subject shipments and Shipping Act violations related to same" (VerTerra Memorandum of Law in Opposition to Respondents' Motion to Dismiss at page 2.)

Using a representation made during settlement negotiations to establish jurisdiction is not a purpose prohibited by FRCP 408(a). In fact, Federal courts have repeatedly held that statements or representations made in the course of settlement negotiations can be used to establish jurisdiction. *360Heros, Inc. v. Mainstreet America Assurance Company*, 2019 WL 355333 (N.D.N.Y. 2019)("Indeed, cases have found that evidence of a settlement is admissible when it is used to either establish or attack the court's jurisdiction"). See, e.g., *National Presort, Inc. v. Bowe Bell & Howell Co.*, 663 F. Supp. 2d 505, 508 (N.D. Tex. 2009). VerTerra is not asking the Presiding Officer or tribunal to consider the representation made by Respondents' counsel and reflected in my affirmation for any purpose other than the issue of jurisdiction.

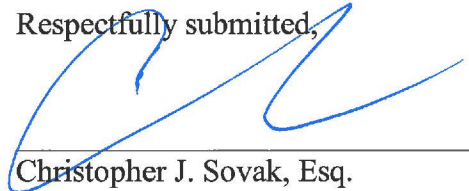
In light of the above, VerTerra requests permission to submit a Sur-Reply of no more than four (4) pages and a supplemental affirmation to address this issue. The proposed affirmation is attached hereto as Ex. 5. Verterra's counsel met and conferred with counsel for the Respondents before making this request and Respondents' counsel did not consent. (See, ¶6 of Ex. 5).

In closing, all of the foregoing would be fully briefed should the Commission or Presiding Officer grant leave to file a Sur-Reply.

***WHEREFORE***, it is respectfully requested that Complainant's request for leave to file a Sur-Reply be granted in its entirety.

Dated: February 6, 2020  
New York, New York

Respectfully submitted,



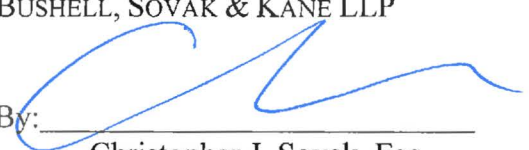
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**CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the COMPLAINANT'S MOTION FOR LEAVE TO FILE SUR-REPLY TO RESPONDENTS' MOTION TO DISMISS, OR IN THE ALTERNATIVE, MOTION TO STAY PROCEEDINGS with annexed exhibits, upon all parties by electronic mail.

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*Attorneys for Complainant*

## **EXHIBIT 5**

Federal Maritime Commission

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Docket No 19-09

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VERTERRA LTD.

COMPLAINANT,

v.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**AFFIRMATION OF CHRISTOPHER J. SOVAK, ESQ. IN OPPOSITION TO  
RESPONDENTS' MOTION TO DISMISS, OR IN THE ALTERNATIVE,  
MOTION TO STAY THE PROCEEDINGS**

STATE OF NEW YORK                    )  
                                                  )ss.:  
COUNTY OF NEW YORK                )

Christopher J. Sovak, an attorney duly admitted to practice before the Courts of the State of New York, affirms under penalty of perjury that:

1. I am a member of the firm, Bushell, Sovak & Kane LLP, counsel to Complainant VerTerra Ltd. I make this affirmation in response to the Respondents' Reply in Support of Respondents Motion to Dismiss, or in the Alternative, Motion to Stay the Proceedings and the attached February 3, 2020 Affirmation of Richard Altman ("Altman Affirmation") in support of the same.

2. Mr. Altman's characterization of our discussions on the issue of DB Group "self

reporting” violations of the Shipping Act in his affirmation is inaccurate. On at least two occasions in November of 2019, Mr. Altman represented to me that instead of having the various violations of the Shipping Act alleged by VerTerra come to the FMC’s attention through the filing of a complaint by VerTerra, the Respondents had decided to “self report” these violations to the FMC. The language used in this representation suggested that this “self report” had already occurred, however, according to Mr. Altman’s affirmation is not the case. Contrary to Mr. Altman’s representations, all the discussions between us on this issue were specific to VerTerra shipments and the alleged violations of the Shipping Act with regard to the same. In fact, all our discussions from the early part of 2019 through the present were specific to VerTerra shipments, not general practices followed by DB Group.

3. Whether or not this “self report” eventually occurred, however, is not the issue. The issue is that Mr. Altman’s representations at the time made it plain that both he and his client understood and acknowledged that the FMC had jurisdiction over the alleged violations of the Shipping Act.

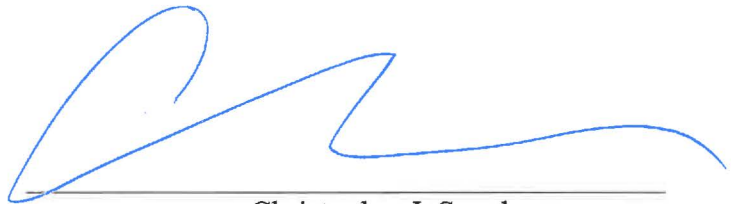
4. This understanding and acknowledgement of the FMC’s jurisdiction over the alleged violations of the Shipping Act is further supported by Mr. Altman in his February 3, 2020 affirmation, wherein he states that the DB Group is conducting an internal review of “its FMC compliance practices with regard to the FMC’s tariff publishing requirement” (§5 of the Altman Affirmation), once again confirming that violations of the Shipping Act are at the heart of this dispute and that the FMC has jurisdiction over such potential violations.

5. The FMC’s consideration of these representations is not barred by FRCP 408(a), as they are being tendered solely for the purposes of establishing the Respondent’s acknowledgement of the FMC’s jurisdiction over the alleged violations at issue. These

acknowledgements are not being offered to prove an admission of liability or any other prohibited use under FRCP 408(a).

6. On the afternoon of February 6, 2020, I met and conferred with counsel for the Respondents, Richard Altman, regarding Verterra's proposed motion to file a Sur-Reply. Counsel did not consent to our request. Accordingly we are asking the Presiding Officer for permission to file the Sur-Reply.

Dated: New York, New York  
February 6, 2020

A handwritten signature in blue ink, consisting of a large, stylized 'C' followed by a series of loops and a long horizontal stroke.

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Christopher J. Sovak